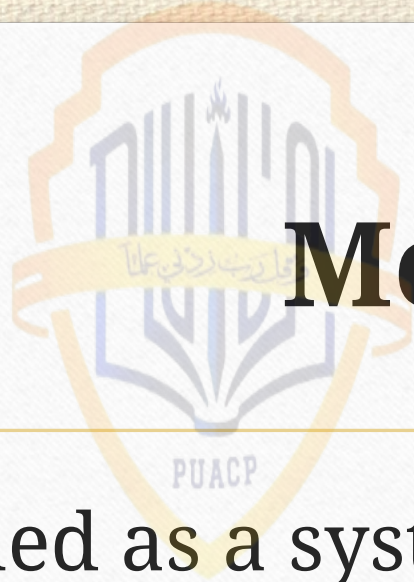


The logo of the Punjab University of Agriculture, Chokkistan (PUACP) is visible in the background. It features a shield with a yellow border and a blue center. Inside the shield, there are stylized vertical lines and a banner with Urdu text. Below the shield, the acronym 'PUACP' is written in blue.

MERCANTILISM ECONOMIC THOUGHT (1500 – 1750AD)

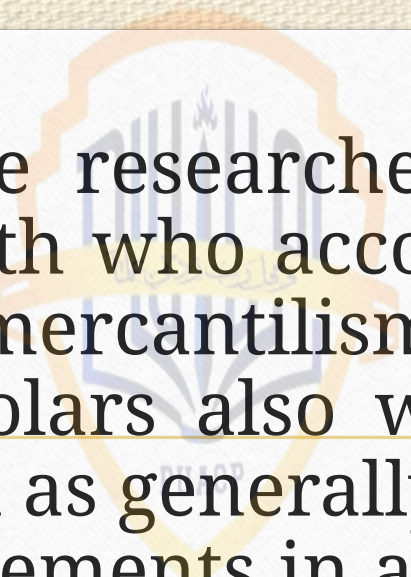
HISTORY OF ECONOMIC THOUGHT

Semester V



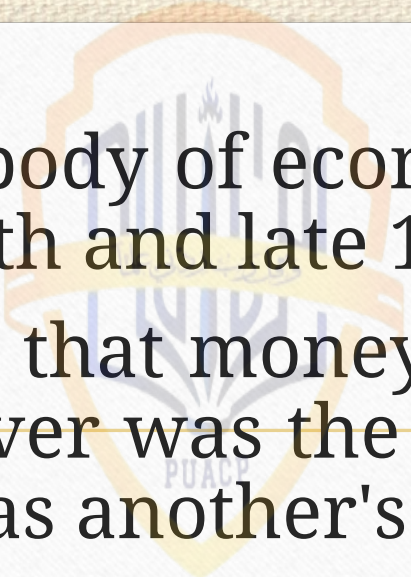
Mercantilism

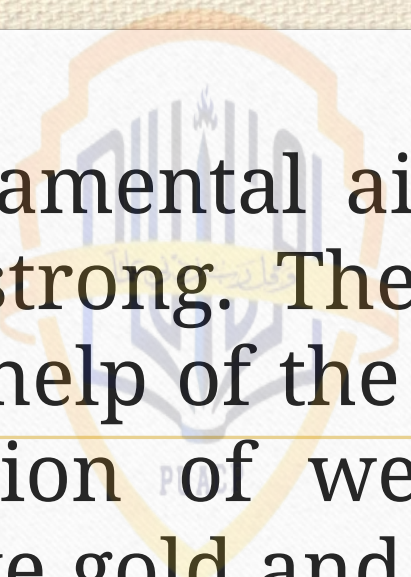
- It is defined as a system, a policy or an initiative or strategy or an economic theory and practice, dominant in Europe from the 16th to the 18th century that promoted governmental regulation of a nation's economy for the purpose of augmenting or enhancing state power at the expense of rival national powers (other nations or countries).

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- Among the researchers and writers of mercantilism was Adam Smith who according to a number of scholars coined the word mercantilism in his book, “The Wealth of Nations”. Other scholars also wrote on mercantilism and explained bullionism as generally a policy aimed at regulating gold and silver movements in and out of a state. This scholars include Thomas Mann, Cantillon David Hume among other
 - It is an economic system which developed during the decay of the feudal system (Feudalism) to unify and increase the power and especially the monetary wealth of a nation by a strict governmental regulation of the entire national economy

Mercantilist theory

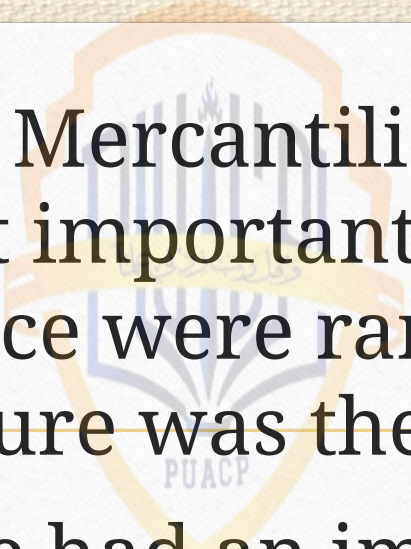
- National economy aimed at accumulating monetary reserves through a positive balance of trade, especially of finished goods. Historically, such policies frequently lead to war and also motivate colonial expansion.
- High tariffs, especially on manufactured goods, are an almost universal feature of mercantilist policy.
- Other policies have included: Building overseas colonies; □ Forbidding colonies to trade with other nations; □ Banning the export of gold and silver, even for payments; □ Forbidding trade to be carried in foreign ships; □ Export subsidies; □ Promoting manufacturing with research or direct subsidies; □ Limiting wages; □ Maximizing the use of domestic resources

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- It is a body of economics thought popular during the mid-16th and late 17th centuries.
 - It held that money was wealth, accumulation of gold and silver was the key to prosperity, and one nation's gain was another's loss.
 - Supported by economists such as Gerard de Malynes (1586-1641), Edward Misselden (1608-54), and Sir Thomas Mun (1571-1641) in the UK, Jean Baptiste Colbert (1619-83) in France ,and Antonio Serra in Italy (1570-?), it exhorted governments to maintain surplus of exports over imports through tariffs (duties), colonialism, and other such measures.



1. The fundamental aim of Mercantilism was to make a country strong. The strength of a country was tested with the help of the wealth of the country, above all, in that portion of wealth which consisted of precious metals like gold and silver. So the Mercantilists attached greater importance to bullion (gold) because it was the most durable, useful and generally acceptable form of wealth.

2. If a country has gold mines and silver mines, it can get gold and silver but if a country has no mines, it can get gold and silver through trade. The country should have a favorable balance of trade. In other words, there should be an excess of exports over imports.



3. In the Mercantilist system of thought trade was the most important occupation. Industry and commerce were ranked second in importance. Agriculture was the least important of all.

The state had an important role to play in the Mercantilist system. It should come forward to exploit the natural resources of the country to increase its exports.

There was regulation of economic life by the government.

Mercantilism & Bullionism

- **Mercantilism** in its simplest form is bullionism, but mercantilist writers have emphasized the circulation of money and reject hoarding. Their emphasis on monetary metals accords with current ideas regarding the money supply, such as the stimulative effect of a growing money supply.
- **Bullionism** is an economic theory that defines wealth by the amount of precious metals owned. It believed that money (gold) was the only form of wealth that was important. Countries during the 16th to 18th century in Europe hoarded gold and accumulated gold bullion in their treasuries.
- A **bullionist** is a person who advocates a system in which

Factors Shaping Mercantilism:

1. Economic Factors:

- Towards the end of the 15th century changes were taking place in the economic life of the people.
- Domestic economy was giving way to an exchange economy.
- Agriculture was giving place to industry.
- Trade became very important and it changed the foundation of socio-economic set-up of the middle ages.
- Trade necessitated the use of money which was available in the form of gold and silver.
- Along with the expansion of commerce there were improvements in transport, agriculture, population, etc., so the Mercantilist thought was the outcome of these developments.

2. Political Factors:

- Towards the end of the middle ages nationalism became the strong force. Europe changed greatly due to Renaissance. As a result, there was a fundamental political change.
- It resulted in the emergence of strong nations like England, France, Spain, etc., Feudalism came to an end and the King became more powerful.
- Each nation wanted to preserve its independence and considered other nations as enemies. In order to create a strong and powerful state the Mercantilists tried to regulate the political and economic activities of the

3. Religious Factors:

The Reformation Movement was revolt against Roman Catholic Church. It challenged the authority of Pope. Initially the Roman Catholic Church controlled the political and economic activities of the nation. But after the Reformation the authority of the Pope was challenged.

4. Cultural Factors:

Culturally also Europe was undergoing a sharp change. Renaissance gave a new light of learning to the people. People were made to realise that this worldly life was more important than the heavenly life. As a result, money came to occupy an important place in human activities.

5. Scientific Factors:

- In the field of science and technology great improvements and inventions were made.
- The discoveries of compass and printing press were of great importance, with the help of compass navigation became easier and it led to the discovery of new countries.
- Thus new countries opened the gates to a variety of raw materials and markets. The invention of printing press helped the spread of new ideas and knowledge.

Mercantilism's demise

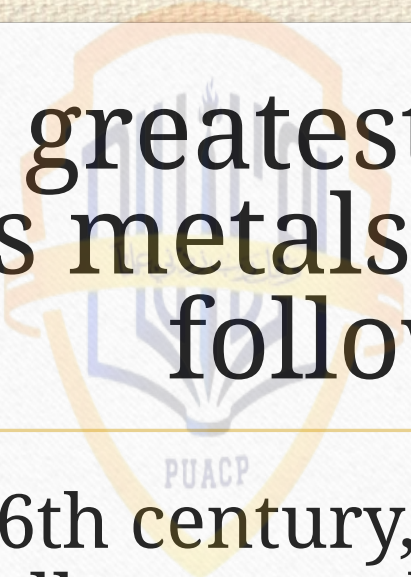
- Mercantilism's demise was initiated by David Hume, Adam Smith (who coined the term), and other classical economist (see Classical Economics) who saw it as serving only the merchant class and argued that real wealth was to be equated with full employment through greater production of goods and services.
- In more recent times, the mercantilism dogma was revived by the UK economist John Maynard Keynes (1883-1946) when he stated that a surplus in balance-of-trade stimulates demand, thus increasing the national wealth. When corporations, politicians, and unions demand control over imports through higher duties to protect local jobs and industries, they are resorting to mercantilism.
- The philosophy of mercantilism in centuries past was a problem for foreign policy, and frequently caused stress between nations. The countries that held this belief close to their heart frequently were at conflict with their neighbors

Main ideas or Characteristics of Mercantilism:

- 1. Wealth:** Mercantilism firmly believed that gold was the basis of wealth and power. Hence the mercantilist slogan was ‘more gold, more wealth and more power’. All the economic activities in the country were centred around wealth. According to Gray, “Everybody thought that his country was engaged in a race with other countries and in that race it must not be the loser”.

To quote Columbus “Gold is a wonderful thing; whoever possesses it, is a master of everything he desires; with gold one can get souls into paradise”

- In this respect it seems that the mercantilists should have drawn inspiration from their predecessors because in ancient Greek and Roman and throughout the middle ages power was considered to be synonymous with accumulation of treasure or precious metals.
- Commerce was also encouraged on the same ground.
- **Mercantilists had a high regard for money. If we consider the circumstances of the day, Mercantilists were justified in attaching greater importance to gold. According to Keynes, “the Mercantilists understood the important role of money in the economic system. They studied the effects of an increase in the quantity of money on the price level and employment.”**



This greatest importance given to precious metals may be attributed to the following reasons:

- (i) In the 16th century, the only form of wealth, most useful and generally acceptable was gold and silver. Naturally the mercantilist attached more importance to gold and silver.
- (ii) With the rise of absolute monarchy, taxation could be possible only if money was used as measure of value. Thus on the political side also money came to occupy greater importance.

The logo of the Punjab University of Agriculture, Cholistan (PUACP) is visible in the background. It features a shield-like emblem with a sunburst at the top, a central flame-like symbol, and the acronym 'PUACP' below it. The text is in Urdu and English.

(iii) For conducting wars money was essential. Three things were required for war—money, more money and still more money.

(iv) Mercantilists believed that trade depended on plentiful of money.

(v) Money was also needed for development of exchange economy.

(vi) Money in those days was identified with capital.

2. Foreign Trade:

- The Mercantilist theory of foreign trade is known as the balance of trade theory.
- The aim of this theory was to get large amount of precious metals. Foreign trade was considered to be the only Source for getting gold and silver.
- They believed that all those nations which did not possess their own gold and silver mines could become rich after getting gold and silver from foreign countries through trade.
- Sir Thomas Mun the greatest representative of Mercantilist declared that, “foreign trade ought to be encouraged, for, upon it hinges the great revenue of the King, the honour of the kingdom, the noble profession of the merchant, the supply of our poor, the improvement of our lands and means of our treasure”.

3. Commerce and Industry:

- The mercantilists considered commerce and industry as the most important branches of the national economy.
- They wanted to increase the national productive efficiency by means of regulation of industry and commerce. They believed, that commerce and trade were the most productive occupation and agriculture was the least productive.
- Further, as they believed that manufacturing industries were more closely connected with commerce, they must receive all attention from the government.
- However, it should not be misunderstood that the mercantilists regarded agriculture as insignificant. They thought that agriculture did not contribute directly to the strength of the country.

4. Population:

- Mercantilists encouraged large population for making the nation militarily strong and for increasing its productive capacity.
- They believed that cheap and abundant supply of labour would keep the cost of production low. This would enable a country to sell its commodity at a lower price in the international market
- According to Davenant, “People were the real strength of a country”.
- The mercantilists even encouraged immigration because they would bring wealth and enrich the country.

5. Natural Resources:

- The mercantilists wanted to utilize all the natural resources to the maximum extent so as to produce more, export more and import less.
- They also attached importance to agriculture in order to solve the food problem.
- Colonies were developed to supply the required raw materials. Further, the colonies were not allowed to export directly to foreign countries. All the commodities should be exported to the mother country only.

6. Wages and Rent:

- The mercantilists discussed the problems of production only. So they did not give much importance to the problems of distribution especially to wages and rent

8. Taxation: The views of the mercantilists on taxation were interesting because they were more scientific and ahead of their time. Broadly speaking the mercantilists favoured a multiple tax system based on the principle of “each should pay according to the benefits received from the state”.

9. Theory of Value: Regarding value, both subjective and objective approaches existed. Prior to the mercantilists, value was regarded as an intrinsic quality possessed by a commodity, it depended upon the utility of the commodity.

- Value was thus considered to be different from price. By the end of the mercantilist period, market value was recognised.
- Scarcity also determined the value of a commodity. According to the mercantilists the normal value of a commodity depended on the cost of production.

10. Factors of Production: Mercantilists recognized three important factors of production, namely, land, labour and capital. Here we can quote Sir William Petty's saying "Labour is the father and active principle of wealth as land is the mother". The Mercantilists emphasized the cultivation of agricultural waste lands so that food production might increase and the country might become self-sufficient and imports might be reduced.

11. Commercial Regulation: Mercantilists believed that commercial regulations were essential for maximizing social welfare. Commercial laws were passed to restrict the import of food materials. But no regulation was applied to the import of raw materials because they were required for the industrial development of the country. The state supported the export

12. Role of State: The mercantilists regarded the state as the supreme power for controlling the activities of the people. State was the master and its citizens, the servants.

- The mercantilists believed that state intervention was necessary to solve the problems of the society. They believed that for securing success in wars a strong nation was required.
- Nearly, all the mercantilist writers believed that since the total economic resources of the world were limited, the economic policy must be framed in such a manner as to increase the power of the state.
- As a result they suggested the policy of protection. The state policies were shaped according to this idea. Special acts were passed to encourage exports and the development of industries. Protection was given to the industries because their main objective was to maintain a favourable balance of trade.

12. Land Banking Schemes:

Mercantilists ideas regarding money gave rise to the establishment of Land Banking Schemes. Land Bank Schemes were introduced by Chamberlin and Barbon.

13. Occupation:

Mercantilists believed that merchants were the most profitable members of the society. To them occupation was productive only if it increased wealth of a country

The logo of the Prince Sultan bin Abdul Aziz Center for Policy Research (PUACP) is located in the background. It features a shield with Arabic calligraphy and the acronym 'PUACP' at the bottom.

French and English Mercantilism:

- Mercantilism was an economic theory and practice dominant in Europe from the 16th to the 18th centuries, emphasizing governmental control of trade to generate wealth and power. Both France and England adopted mercantilist policies, but with some differences in approach and execution.

French Mercantilism:

- **Centralized Control:** France under rulers like Louis XIV practiced a highly centralized form of mercantilism. The state played a dominant role in economic affairs, with the king and his ministers making most key decisions.
- **Colonial Expansion:** France sought to expand its colonial empire to secure sources of raw materials and markets for its manufactured goods. French colonies in the Americas, Africa, and Asia were primarily exploited for their resources.
- **State Monopolies:** The French government often granted exclusive trading rights to privileged companies, such as the French East India Company, to control and profit from overseas trade.

- **Regulation of Industry:** The French state heavily regulated domestic industries to protect them from foreign competition and ensure a favorable balance of trade. Guilds and trade associations were also used to control production and maintain quality standards.
- **Mercantilist Policies:** France implemented various mercantilist policies like tariffs, subsidies, and bounties to promote exports, restrict imports, and accumulate precious metals. These policies aimed to maintain a positive balance of trade and increase the country's wealth.

English Mercantilism

- **Naval Power and Trade:** England's mercantilist policies were closely tied to its naval power. The English government focused on building a strong navy to protect its merchant fleets and trade routes, enabling it to dominate global commerce.
- **Colonialism and Trade Networks:** Like France, England established colonies in the Americas and elsewhere to secure valuable resources and markets. English colonies like those in North America became crucial suppliers of raw materials like tobacco, cotton, and timber.

- **Navigation Acts:** England enacted a series of Navigation Acts in the 17th century to regulate colonial trade and ensure that most colonial goods were shipped on English vessels. These acts aimed to strengthen England's maritime power and control over trade.
- **Enclosure Movement:** The Enclosure Movement in England involved consolidating and privatizing common lands, which increased agricultural productivity and provided a cheap labor force for emerging industries.
- **Banking and Finance:** England developed a sophisticated system of banking and finance, including the establishment of the Bank of England in 1694. This helped finance trade, industry, and colonial ventures, contributing to England's

The logo of the Pimpri Chinchwad Education Trust (PUACP) is centered in the background. It features a shield with a book and a lamp, with the acronym 'PUACP' below it.

Critical Estimate of Mercantilism:

- Mercantilist theories and practices have been criticized by many writers. The opposition actually started towards the end of the 17th century. The storm of criticism against mercantilism was particularly strong in France.
- The criticism against mercantilism reached its climax towards the end of the 18th century when Adam Smith published his book “The Wealth of Nations”, one fourth of which was devoted to this.